

DocuSign (DOCU): The 8.5x FCF Software Cash Cow

DocuSign has transitioned from a pandemic hyper-growth darling into an ultra-high-cash-margin enterprise software monopoly. At **\$59.33 spot price (\$11.3B Market Cap / \$10.7B Enterprise Value)**, DOCU trades at **11.6× Forward P/E** and **8.56× EV/Free Cash Flow**.

DOCU generated **\$1.25 Billion in Free Cash Flow** over the last twelve months on \$3.29B in revenue (a massive **38.1% FCF margin**) with **+\$630.8M in net cash** and an aggressive share repurchase program retiring ~3% of shares per year.

VALUATION AT \$59

11.6× Fwd P/E · 8.5× EV/FCF

Down 81% from \$314 pandemic high

CASH GENERATION

\$1.25B Free Cash Flow

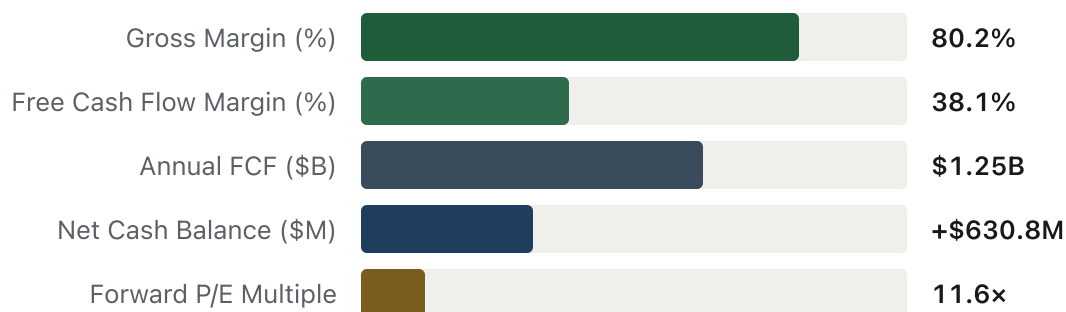
38.1% FCF Margin · \$631M Net Cash

ADJUDICATED VERDICT

OWNABLE (Starter 2.0%)

High-conviction B2B SaaS cash compounder

The Dislocation: Value Pricing on Software Margins



The Moat: Digital e-signature is a mission-critical utility with legally binding compliance infrastructure across Global 2000 enterprises. Churn is negligible, gross retention is >95%, and the transition to Intelligent Agreement Management (IAM) expands ARPU without requiring massive customer acquisition capex.

EXECUTION ARCHITECTURE

Execution & Sizing Architecture

TRANCHE	TARGET PRICE RANGE	ALLOCATION (% BOOK)	EXECUTION RATIONALE
Tranche 1 (Starter Entry)	\$57.50 – \$59.50	1.00% (\$10,000)	Immediate entry at 8.5x EV/FCF and 11.6x Forward P/E.
Tranche 2 (Dislocation Add)	\$52.00 – \$54.00	1.00% (\$10,000)	GTC limit orders at <8.0x FCF in case of general SaaS multiple compression.

Portfolio Sizing Cap: 2.0% Maximum Allocation (\$20,000). Invalidation on quarterly FCF margin dropping below 25% or net cash turning negative.